SUPERIOR COURT OF CALIFORNIA, CONTRA COSTA COUNTY
MARTINEZ, CA
DEPARTMENT 32
JUDICIAL OFFICER: JONI T HIRAMOTO
HEARING DATE: 01/16/2026

ALL APPEARANCES WILL BE BY ZOOM

The tentative ruling will become the Court's ruling unless by 4:00 p.m. of the court day preceding the hearing, counsel or self-represented parties call the department rendering the decision to request argument and to specify the issues to be argued. Calling counsel or self-represented parties requesting argument must advise all other affected counsel and self-represented parties by no later than 4:00 p.m. of his or her decision to appear and of the issues to be argued. Failure to timely advise the Court and counsel or self-represented parties will preclude any party from arguing the matter. (Local Rule 3.43(2).) CourtCall will **NOT** be used by D32. Zoom is approved for all hearings except Issue Conferences and Trials. **Dept. 32's telephone number is: (925) 608-1132.**

NOTE: In order to minimize the risk of miscommunication, Dept. 32 prefers and encourages email notification to the department of the request to argue and specification of issues to be argued.

Dept. 32's email address is: dept32@contracosta.courts.ca.gov.

Submission of Orders After Hearing in Department 32 Cases

The prevailing party must prepare an order after hearing in accordance with CRC 3.1312. The order must include appearances. If the tentative ruling becomes the Court's ruling, a copy of the Court's tentative ruling **must be attached to the proposed order** when submitted to the Court for issuance of the order.

Zoom hearing information

https://contracosta-courts-ca.zoomgov.com/j/1613360625?pwd=pSvvmR75t9Q2H5zOgagi9rbG4xeTUM.1
Meeting ID: 161 336 0625
Passcode: 180770

Law & Motion

1. 9:00 AM CASE NUMBER: C23-00029
CASE NAME: UNIVERSE PAINTING, INC. VS. LYNN BRYANT TRUSTEE OF THE BENNETT TRUST
***HEARING ON MOTION IN RE: LEAVE TO FILE FIRST AMENDED CROSS COMPLAINT**
FILED BY: LYNN BRYANT TRUSTEE OF THE BENNETT TRUST
****TENTATIVE RULING:****

Cross-complainant Bryant seeks leave to file a first amended cross-complaint. The motion is expressly unopposed and is accordingly **granted**. This should have been handled by stipulation.

2. 9:00 AM CASE NUMBER: C23-00343
CASE NAME: JOHN SCOTT VS. GOLDEN RAIN FOUNDATION
HEARING ON SUMMARY MOTION
FILED BY: GOLDEN RAIN FOUNDATION
****TENTATIVE RULING***

The summary judgment hearing is **vacated** in light of the conditional settlement. The motion can be reset if that turns out to be necessary.

3. 9:00 AM CASE NUMBER: C23-02323
CASE NAME: NORTH OF MARINA ASSOCIATION VS. CITY OF RICHMOND
HEARING ON DEMURRER TO: 1ST AMENDED CROSS-COMPLAINT OF CITY OF RICHMOND FROM: ROTO-ROOTER SERVICES COMPANY
FILED BY: ROTO-ROOTER SERVICES COMPANY
****TENTATIVE RULING:****

Cross-defendant Roto-Rooter Services Company demurs to the fourth cause of action in City of Richmond's first amended cross-complaint, which asserts a claim for express indemnity. Roto-Rooter argues that Richmond cannot maintain an express indemnity claim against it because the original/underlying complaints in this matter make no allegations of fault against Roto-Rooter and the express indemnity clause provides that it will not apply in instances of Richmond's "sole negligence."

For the reasons discussed below, the Court **overrules** Roto-Rooter's demurrer. Roto-Rooter is ordered to file and serve its answer to the first amended cross-complaint within 20 days of entry of this order.

Background

Plaintiffs North of Marina Association (NOMA) and Rows at North of Marina Association (Rows, together with NOMA, Plaintiffs) filed separate lawsuits against the City of Richmond and Does 1-50, asserting claims for inverse condemnation, dangerous condition on public property, private nuisance, public nuisance, and trespass. (NOMA Amended Complaint, p. 1; Rows Complaint, p. 1.) All the claims asserted by NOMA and Rows relate to sewer overflows at real property located in Richmond, California. These cases were consolidated by stipulation and order.

On April 3, 2025, the City of Richmond filed a cross-complaint against Roto-Rooter Services Company and Roes 1-10, asserting claims for apportionment of fault, contribution, equitable indemnity, and express indemnity. (Cross-Complaint, p.1.) On July 9, 2025, Richmond filed an amended complaint that asserted the same claims but modified the attachments to the complaint. (Amended Cross-Complaint. P. 1, Exhs. A – C.)

Legal Standard

In ruling on a demurrer, a court must accept as true all allegations of fact contained in the complaint. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) A demurrer challenges only the legal sufficiency of the affected pleading, not the truth of the factual allegations in the pleading or the pleader's ability to prove those allegations. (*Cundiff v. GTE Cal., Inc*. (2002) 101 Cal.App.4th 1395, 1404-1405.)

Questions of fact cannot be decided on demurrer. (*Berryman v. Merit Prop. Mgmt., Inc*. (2007) 152 Cal.App.4th 1544, 1556.) Because a demurrer tests only the sufficiency of the complaint, a court will not consider facts that have not been alleged in the complaint unless they may be reasonably inferred from the matters alleged or are proper subjects of judicial notice. (*Hall v. Great W. Bank* (1991) 231 Cal.App.3d 713, 718 fn.7.) "[A]t the demurrer stage the complaint must be construed in the light most favorable to the plaintiff." (*Wilson v. Houston Funeral Home* (1996) 42 Cal.App.4th 1124, 1138.)

"[W]hether an indemnity agreement covers a given case turns primarily on contractual interpretation, and it is the intent of the parties as expressed in the agreement that should control. When the parties knowingly bargain for the protection at issue, the protection should be afforded. This requires an inquiry into the circumstances of the damage or injury and the language of the contract; of necessity, each case will turn on its own facts." (*Rossmoor Sanitation, Inc. v. Pylon, Inc*. (1975) 13 Cal.3d 622, 633.)

Discussion

The crux of Roto-Rooter's demurrer is that Richmond's claim for express indemnity fails because the underlying complaints allege sole negligence as to Richmond and nothing against Roto-Rooter. (Demurrer, p. 4.) The support for this argument focuses on the underlying complaints, which the amended cross-complaint incorporates by reference. (Amended Cross-Complaint, ¶ 31.)

Richmond argues that Roto-Rooter improperly ignores the allegations from the cross-complaint in assessing the possible liability of Roto-Rooter. (Opposition, p. 4.) The amended cross-complaint alleges that Roto-Rooter "removed required check valves ... and replaced the check valves with a straight pipe. These actions directly caused damage to Plaintiff. No person from the City instructed an employee or independent contractor of Roto-Rooter to remove the check valves." (Amended Cross-Complaint, ¶ 17.)

This is in line with the complaints of NOMA and Rows, which allege that the failure of check valves is part of the dangerous condition of public property and that the dangerous condition of public property caused them damages. (NOMA First Amended Complaint, ¶¶ 15(e) and 49, Rows Complaint, ¶¶ 15(e) and 49.) Plaintiffs also allege that their contractor told them that a Richmond city inspector told the contractor to remove the check valves and replace them with a straight pipe. (NOMA First Amended Complaint, ¶ 20, Rows Complaint, ¶ 20.) Interestingly, NOMA's original complaint alleged that Richmond contended that the "ASSOCIATION'S repair contractor had broken the damaged check valves." (NOMA Original Complaint, ¶ 21.)

The basic problem with Roto-Rooter's demurrer is that it tacitly assumes that the City, in cross-complaining, is somehow limited to the allegations of the original complaint against the City, so that its cross-complaint cannot add any other allegations or theories. Roto-Rooter cites no authority for such a limitation, and a little easy analysis quickly disproves it. Suppose an absentee property owner hires a contractor to do work on the property, with an indemnification provision in the contract. Contractor's work causes damage to the home of a neighbor, who sues the property owner, alleging only the owner's fault and not mentioning the contractor. Surely the property owner would be entitled to cross-complain against the contractor, seeking indemnification against the neighbor's suit. But under Roto-Rooter's theory in this demurrer, the neighbor's omission to sue the contractor (or to allege the contractor's fault) would prevent the property owner from seeking the indemnification he contracted for.

In examining the language of the indemnity provision (Cross-Complaint, ¶ 61) and the allegations from the complaints in this case (Amended Cross-Complaint, NOMA First Amended Complaint, and Rows Complaint), there is reason to believe that Roto-Rooter has potential liability based on the allegations and the Court overrules the instant demurer of cross-defendant Roto-Rooter. The underlying complaint being brought only against the City may show that the plaintiffs see the City as the sole wrongdoer; but hardly binds the City to agree to that proposition and refrain from pointing a cross-complaint finger at the party the City considers to be at fault.

4. 9:00 AM CASE NUMBER: C24-00779
CASE NAME: MOORE OKEH VS. HARDEEP SINGH
***HEARING ON MOTION IN RE: SET ASIDE ORDER COMPELLING ARBITRATION**
FILED BY: OKEH, MOORE N.
<u>*TENTATIVE RULING:*</u>

Before the Court is Plaintiffs' Motion to Set Aside Order Compelling Arbitration. The motion is **denied**.

<u>Procedural Background</u>

Plaintiffs filed the initial complaint in this matter on April 3, 2024. On November 13, 2024, Defendant U.S. Bank National Association filed a motion to compel arbitration. The hearing for the motion was set for March 21, 2025. As such, any opposition would be due on or before March 10, 2025.

In late February, the parties submitted a joint stipulation to continue the hearing date until April 21, 2025 "or as soon as the Court is available thereafter." The Court signed the stipulation on March 3 resetting the hearing date for May 2, 2025. The stipulation was entered on the docket on March 10, 2025.

Plaintiff never filed an opposition to the motion to compel arbitration. Accordingly, on May 1, 2025, the Court posted the tentative ruling indicating that the "unopposed motion to compel arbitration is granted." Plaintiff did not contest the tentative ruling. As such, the Court issued a minute order on

May 2 confirming the tentative ruling as its final order.

Over four months later, on September 15, 2025, Plaintiffs filed the instant motion to set aside the order compelling arbitration.

<u>Standard</u>

The Notice of Motion indicates that Plaintiffs make this motion pursuant to Code of Civil Procedure section 473 (b). "The statue includes a discretionary provision, which applies permissively, and a mandatory provision, which applies as of right." (*Minick v. City of Petaluma* (2016) 3 Cal.App.5th 15, 25.) "Although this bifurcation is not demarcated in any internal subtitling, it is plainly evidence in the textual structure of the statute." (*Ibid.*)

Plaintiffs indicate in their moving papers that they are moving under the discretionary provision by only citing that portion of section 473(b) and by specifically noting that such a request "is discretionary with the trial court." (Motion at 3:5-10.)

The 'discretionary' provision is set forth at the beginning of the statute:

> The court may, upon any terms as may be just, relieve a party or his or her legal representative from a judgment, dismissal, order, or other proceeding taken against him or her through his or her mistake, inadvertence, surprise, or excusable neglect. Application for this relief shall be accompanied by a copy of the answer or other pleading proposed to be filed therein, otherwise the application shall not be granted, and shall be made within a reasonable time, in no case exceeding six months, after the judgment, dismissal, order, or proceeding was taken.

When moving to set aside a default under CCP §473(b), the moving party has the burden of proof. (*In re Marriage of Kieturakis* (2006) 138 Cal.App.4th 56, 88.)

"Under the traditional *discretionary* provisions of section 473, a party seeking relief on the basis of its attorney's neglect must show that the neglect was *excusable.*" (*Metropolitan Service Corp. v. Casa de Palms, Ltd.* (1995) 31 Cal.App.4th 1481, 1487.)

<u>Analysis</u>

Accompanying Opposition

As noted by Defendants, to satisfy the requirements for relief under section 473(b), the motion "***shall be*** accompanied by a copy of the answer or other pleading proposed to filed therein***, otherwise the application shall not be granted***…" (Cal. Code Civ. Proc. § 473 (b) emphasis added.)

Even if a motion to set aside is timely, it is "nonetheless properly denied [if] it was unaccompanied by a proposed responsive pleading." (*Jimenez v. Chavez* (2023) 97 Cal.App.5th 50, 63.) The purpose of needing to file a proposed response "is to compel the delinquent party to demonstrate his or her good faith and readiness to proceed on the merits,' and to ensure that 'courts do not become a sanctuary for chronic procrastination and irresponsibility on the part of either litigants or their attorneys.'" (*Ibid.* citations omitted.)

While it is recommended that the proposed pleadings accompany the motion, "[t]he objectives of the 'accompanied by' requirement, i.e., a screening determination that the relief is not sought simply to delay the proceedings, are satisfied by the filing of a proposed answer at any time before the hearing." (*Hu v. Fang* (2002) 104 Cal.App.4th 61, 65, quoting *County of Stanislaus v. Johnson* (1996) 43 Cal.App.4th 832, 838.)

Plaintiffs' reply papers were due on or before January 9. As of the drafting of this tentative ruling, well beyond that date, Plaintiffs have not filed any reply papers and have failed to file any proposed response to the motion to compel arbitration. On that basis alone, their motion must be denied.

Timeliness

An application for relief under section 473(b) discretionary relief provisions "shall be made *within a reasonable time*, in no case exceeding six months, after the … order or proceeding was taken." (Cal. Code Civ. Proc. § 473 (b) emphasis added.) "Thus, a 'moving party … must show *diligence* in making the motion after discovery of the default.'" (*Younessi v. Woolf* (2016) 244 Cal.App.4th 1137, 1145.) "What constitutes 'a reasonable time in any case depends on the circumstances of that particular case.'" (*Minick v. City of Petaluma* (2016) 3 Cal.App.5th 15, 33 quoting *Martin v. Taylor* (1968) 267 Cal.App.2d 112, 114.)

Plaintiffs have failed to show any diligence in seeking to set aside the order compelling arbitration. The Parties submitted a stipulation requesting that the hearing be moved to April 21 ""or as soon as the Court is available thereafter." To begin with, April 21 is a Monday, and the parties should have been aware that the Court held law and motion hearings on Fridays. As such, they should not have expected that date to be set. Even so, the parties should have been on alert to see what date the Court set after they submitted their stipulation.

On February 10, the Court granted the stipulation and entered the order setting the new hearing date on May 2. With that new hearing date, oppositions would be due on or before April 21, 2025. Thus, Plaintiffs had over two months to receive the order and prepare their opposition. Not only did Plaintiffs fail to file an opposition, but they also failed to contest the tentative ruling that was posted on May 1, 2025. As such, the order granting the motion to compel was entered on May 2.

The Court held a CMC on May 8, at which Plaintiffs' counsel appeared. This is almost three weeks *after* the proposed hearing date set by the parties. Despite this, no mention is made of the motion to compel arbitration. Thereafter, U.S. Bank's counsel sent emails to Plaintiffs' counsel asking if Plaintiffs were going to file an arbitration – dated June 2, 20, and July 20. (Vanderfin Decl. ¶ 2, Ex. A.) It does not appear that Plaintiffs' counsel responded to any of those inquiries. Instead, Plaintiffs waited over eight more weeks to file the instant motion to set aside.

In total, Plaintiffs waited almost four and a half months (136 days) to move to set aside the order compelling arbitration. While appellate courts have routinely found that there is no abuse of discretion in granting relief under section 473(b) in delays of 7-10 weeks, a "delay is unreasonable as a matter of law [] when it exceeds three months and there is no evidence to explain the delay." (*Minick*, 3 Cal.App.5th at 34.)

Plaintiffs provide no explanation as to why they waited so long to file the instant motion. They failed to show that the motion was made in a "reasonable time" and that they acted diligently. This is another reason for denying the motion.

Excusable Conduct

Plaintiff must show that the conduct was "excusable because the negligence of the attorney is imputed to his client and may not be offered by the latter as a basis for relief." (*Generale Bank Nederland v. Eyes of the Beholder Ltd.* (1998) 61 Cal.App.4th 1348, 1399.) To assess whether conduct is excusable the court must inquire into whether "'a reasonably prudent person under the same or similar circumstances' might have made the same error." (*Toho-Towa Co., Ltd. v. Morgan Creek Productions, Inc.* (2013) 217 Cal.App.4th 1096, 1112, quoting *Bettencourt v. Los Rios Community College Dist*. (1986) 42 Cal.3d 270, 276.) Conduct falling below the professional standard of care, such as failure to timely object or to properly advance an argument, is, therefore, not excusable. (*Id*. at 1112.) To hold otherwise would be to eliminate the express statutory requirement of excusability and effectively eviscerate the concept of attorney malpractice." (*Garcia v. Hejmadi* (1997) 58 Cal.App.4th 674, 682.)

While it is true that the "statute's 'broad remedial provisions' are to be 'liberally applied to carry out the policy of permitted trial on the merits,' the party seeking relief "bears the burden of proof in establishing a right to relief." (*Hopkins v. Carley v. Gens* (2011) 200 Cal.App.4th 1401, 1410 citations omitted.) "The burden is a 'double one: the moving party must show a satisfactory excuse for his default, and he must show diligence in making the motion after discovery of the default.'" (*Ibid.* internal quotations omitted.) The party must identify the specific facts which "demonstrate 'that due to *some mistake*, either of fact or law, of himself or of his counsel, or through *some inadvertence*, surprise or neglect ***which may properly be considered excusable***, the judgment or order from which he seeks relief should be reversed." (*Ibid.* emphasis added.)

As outlined above, the original hearing date was March 21, 2025. The parties submitted a stipulation to move the hearing to April 21 "or as soon as the Court is available thereafter." The Court granted the stipulation and entered an order on February 10 setting the new hearing for May 2. Plaintiffs' counsel contends that he failed to file an opposition because he was unaware of the new hearing date issued by the Court.

Plaintiffs' counsel maintains that he was 'confused' because the stipulation submitted by the parties sought a hearing date of April 21, but the order indicated a hearing date of May 2. He asserts that he did not receive the signed stipulation until after May 2, and as such failed to timely submit an opposition. As noted by Defendants, this explanation does not make sense.

If Plaintiffs' counsel was unaware that the stipulation had been entered, he should have submitted an opposition by March 10. He did not. He also does not appear to have checked to see if the stipulation was granted or denied. Any reasonable attorney would have checked the docket and/or contacted the Court to determine the status of the stipulation as the deadline to file an opposition neared. If counsel did not receive the signed order until after May 2, he should have acted as if it had not been entered. In other words, a reasonable attorney would have filed an opposition based on the original hearing date.

Even if Plaintiffs' counsel presumed the stipulation was entered with the date requested, an opposition would have been due before the actual date based on the May 2 hearing date. Despite this, Plaintiffs counsel still did not file an opposition in time for the proposed hearing date. In fact, they never filed (even to date) any opposition to the motion to compel arbitration.

"'Conduct falling below the professional standard of care, such as failure to timely object or to properly advance an argument, is, therefore, not excusable. To hold otherwise would be to eliminate the express statutory requirement of excusability and effectively eviscerate the concept of attorney malpractice.'" (*Toho-Towa Co., Ltd. v. Morgan Creek Productions, Inc.* (2013) 217 Cal.App.4th 1096, 1112, quoting *Zamora v. Clayborn Contracting Group, Inc.* (2002) 28 Cal.4th 249, 258.)

Plaintiffs' counsel's failure to timely file an opposition, failure to determine if the stipulation was granted and, if so, what date the new hearing was set for all fall below the professional standard of care. The "law is clear that attorney conduct falling below the professional standard of care is not excusable." (*Jackson v. Kaiser Foundation Hospitals, Inc.* (2019) 32 Cal.App.5th 166, 174 citing *Zamora*, 28 Cal.4th at 258.)

The above provides another reason as to why Plaintiffs motions should be denied.

Conclusion

Plaintiffs' Motion to Defendant's Motion to Set Aside Order Compelling Arbitration is **denied**.

Finally, the Court must observe that with arbitration having been ordered in early May, compliance with that order should have resulted in arbitration proceedings being commenced by June at the latest. It does not appear that either side has moved to make that happen. Such a failure to proceed with arbitration may form the ground for further relief of some kind, but no such action is taken at this time.

5. 9:00 AM CASE NUMBER: C24-03078
CASE NAME: THALBIR OLI VS. GOVIND SHAHI
HEARING ON DEMURRER TO: CROSS COMPLAINT
FILED BY: OLI, THALBIR
****TENTATIVE RULING:****

This case is a dispute between the two partners and owners of a now-failed bar business, with related parties also involved. The case is on calendar for the demurrer and motion to strike filed by plaintiffs/cross-defendants against the cross-complaint of defendant/cross-complainant Sushovan Shahi. No oppositions to the present demurrer and motion to strike have been filed. Instead, cross-complainant Shahi filed a first amended cross-complaint (adding the corporation as a cross-complainant). No answer or response to the amended cross-complaint has been filed yet. Thus, the present demurrer and motion are **moot**, at least for now.

In the meantime, however, defendants have also filed a demurrer and motion to strike against plaintiffs' original complaint. Those are set for hearing on February 6.

While we haven't seen a demurrer to the first amended cross-complaint yet, however, it appears likely that one will be filed, and that its substance will overlap strongly with the issues presented by the present defendants' demurrer. Loosely speaking, the two pleadings in this case are largely mirror images of each other, as are the attacks made by the two competing demurrers. It thus appears that at least to a large extent, each side is being systematically inconsistent in its own filings, with arguments in demurrers that would apply equally well to the demurring parties' own complaint or cross-complaint.

The Court accordingly **continues** the upcoming hearing date of February 6 to May 16, 2026, so that if a demurrer to the first amended cross-complaint is filed (as seems likely), the two demurrers can be heard together. If such a demurrer (and/or motion to strike) is filed, it should be set for hearing on the same date.

In the meantime, the Court is of the view that both sides need to see to the consistency of their respective positions. It will not do for a party to plead a cause of action in his or her own complaint, while simultaneously making legal arguments in his or her demurrer that would be equally fatal to the party's own claims. The attorneys are therefore directed to meet and confer as to the legal viability of all of the various claims made in both directions, with a view to a stipulation either to drop nonviable claims, or to drop nonviable demurrers, or some of both. And if the attorneys cannot reach agreement, then each side must file and serve a statement by April 18, explaining how its own attacks on the other side's claims can be squared consistently with its own pleaded claims.

6. 9:00 AM CASE NUMBER: C24-03078
CASE NAME: THALBIR OLI VS. GOVIND SHAHI
***HEARING ON MOTION IN RE: STRIKE CROSS COMPLAINT**
FILED BY: OLI, THALBIR
****TENTATIVE RULING:****

See line 5.

7. 9:00 AM CASE NUMBER: C25-00444
CASE NAME: KYANI-DEVAREU HARRIS VS. COUNTY OF CONTRA COSTA COURT
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: COUNTY OF CONTRA COSTA
****TENTATIVE RULING:****

Department 309 (Judge Treat) recuses himself from this case in light of the point that the Court itself is a named defendant in the case. The demurrer is taken **off calendar**, and the case is referred to the Presiding Judge for consideration of a full-bench recusal.

8. 9:00 AM CASE NUMBER: C25-01064
CASE NAME: WILTON SHORT VS. FRANKLIN CREDIT MANAGEMENT CORP.
***HEARING ON MOTION IN RE: REQUEST FOR ORDER TO STRIKE ZBS LAW LLP'S DECLARATION OF NON-MONETARY STATUS AND FOR SANCTIONS**
FILED BY: SHORT, WILTON C
TENTATIVE RULING:*

Introduction

This is a wrongful foreclosure case. On April 16, 2025, Plaintiff Wilton Short filed a Complaint in this Court against Defendants Franklin Credit Management Corp, Bosco Credit LC, And ZBS Law. The original Complaint alleged five causes of action for (1) Wrongful Foreclosure; (2) Quiet Title; (3) Cancellation of Instruments; (4) Fraudulent Substitution of Trustee; and (5) Declaratory and Injunctive Relief.

Before the Court is Plaintiff Short's Motion to Strike Defendant ZBS Law's Declaration of Non-Monetary Status (DNMS).

For the following reasons, the **Plaintiff's Motion to Strike is denied.**

Meet and Confer Requirement

Plaintiff failed to satisfy his meet and confer requirements for his Motion to Strike. Plaintiff submitted a declaration in support of his motion to strike but never addressed any statutory mandated meet and confer efforts. (Short Decl. generally; See CCP § 435.5.)

Procedural Timeline

On May 27, 2025, Defendant ZBS Law filed and served its Declaration of Non-Monetary Status. Plaintiff filed his Motion to Strike Defendant ZBS Law DNMS on September 18, 2025, approximately 114 days after Defendant ZBS field its DNMS.

Applicable Law

According to California law, when a foreclosure trustee files a DNMS and no party objects within 15 days, the trustee is not required to participate further in the action and is exempt from any monetary awards for damages, attorneys' fees, or costs. (Civ. Code §2924l(a-c).) In the even that parties fail to timely object or otherwise determines that the trustee should participate in the action because of the performance of its duties as a trustee, the parties may file and serve on all parties and the trustee a motion pursuant to Section 473 of the Code of Civil Procedure that specifies the factual basis for the demand. (Civ. Code §2924l(e).)

Analysis

Plaintiff's Motion is Untimely

Plaintiff's Motion must be denied because Plaintiff's Motion is untimely because it was not submitted within fifteen (15) days of notice of the DNMS.

In this matter, the Defendant ZBS Law filed and served its DNMS on May 27, 2025. Plaintiff did not file his Motion to Stike until September 18, 2025, rendering it untimely.

Plaintiff's Motion is not Brought Pursuant to CCP § 473

Additionally, Plaintiff's Motion is improper because the plain language of the code provides for a specific mechanism to challenge a DNMS which Plaintiff has failed to comply with, rendering his Motion fatally defective. The statute requires the parties that seek to challenge a DNMS through the framework of a motion pursuant to Section 473 of the Code of Civil Procedure. Plaintiff did not do so here, rendering his motion improper and fatally defective

Conclusion

In consideration of the above, **Plaintiff's Motion to Strike is denied.**

9. 9:00 AM CASE NUMBER: C25-01567
CASE NAME: ALEXIS DEAN VS. MONTE GARDENS ELEMENTARY SCHOOL (MOUNT DIABLO UNIFIED SCHOOL DISTRICT)
HEARING ON DEMURRER TO: COMPLAINT
FILED BY: MOUNT DIABLO UNIFIED SCHOOL DISTRICT
TENTATIVE RULING:

Department 309 (Judge Treat) recuses himself from this case. The demurrer is **continued** to January 23, 2026, so that it can be heard in the regularly assigned Department 32 (Judge Hiramoto).

10. 9:00 AM CASE NUMBER: C25-01730
CASE NAME: RINNOVO GROUP INC VS. ARMOR CONTRACTING COMPANY
***HEARING ON MOTION IN RE: LEAVE OF COURT TO INTERVENE ON BEHALF OF ITS INSURED ARMOR CONTRACTING COMPANY**
FILED BY: SCOTTSDALE INSURANCE COMPANY
TENTATIVE RULING:

This was handled by stipulation.

11. 9:00 AM CASE NUMBER: C25-01931
CASE NAME: NOEL LINARES VS. THI TRANG NGUYEN
***HEARING ON MOTION IN RE: TRIAL PREFERENCE**
FILED BY: LINARES, NOEL
TENTATIVE RULING:

Plaintiff moves for trial preference. The motion is expressly unopposed. The motion is therefore **granted**, and the parties are to appear (Zoom okay) to discuss a trial date.

12. 9:00 AM CASE NUMBER: C25-02259
CASE NAME: MYEASHA LEWIS VS. HYUNDAI MOTOR AMERICA
***MOTION/PETITION TO COMPEL ARBITRATION**
FILED BY: HYUNDAI MOTOR AMERICA
****TENTATIVE RULING:****

Defendant Hyundai moves under both the California Arbitration Act (CAA) and the Federal Arbitration Act (FAA) to compel plaintiffs to arbitrate the claims set forth in their complaint, and to stay this action pending the outcome of arbitration. Because Hyundai has failed to establish that an enforceable arbitration agreement exists between itself and plaintiffs based on either the Owner's Handbook or the Connected Services Agreement, the motion is **denied**, as discussed below.

I. Background

Plaintiffs Myeasha N. Lewis and Shaun I. Joseph allege that on or around December 17, 2022 they purchased a 2023 Hyundai Elantra. (Declaration of Myeasha N. Lewis, ¶3; Complaint, ¶8.) Plaintiffs assert that the vehicle was delivered with serious defects including, but not limited to, engine, emission, and electrical system defects. (Complaint, ¶10.) Plaintiffs presented the vehicle for repairs on multiple occasions, but Hyundai was unable to conform the vehicle to the "applicable express warranty" after a reasonable number of repair attempts. (Complaint, ¶¶11-14, 28.) Plaintiffs allege the vehicle was not fit for its ordinary purpose because it was equipped with one or more defective systems or components. (Complaint, ¶39.) Plaintiffs filed the present suit on August 8, 2025, alleging three causes of action under the Song-Beverly Act. In response, defendant filed this motion on September 17th.

Defendant's motion invokes the arbitration provisions found in a purported "Owner's Handbook & Warranty Information" and in a "Connected Services Agreement Terms and Conditions." In support of its motion, defendant provides a declaration from counsel, Ali Ameripour, who attaches the purported handbook, as well as plaintiff's complaint (Exhibits 3 and 4, respectively). Defendant also provides a declaration from Vijay Rao, Hyundai's Director of Connected Ops & Owner Apps/Web, for Hyundai Motor America, Inc., who attaches the "Connected Services Agreement Terms and Conditions Effective as of 5/26/22," as well as a screenshot of what he asserts plaintiffs would have seen upon enrollment in the terms and conditions.

Plaintiffs oppose the motion, arguing defendant fails to show an agreement to arbitrate, that certain evidence is inadmissible, that the CSA does not cover their claims, and that the purported agreements are unconscionable. In support of the opposition, plaintiffs provide their own declarations and a declaration from counsel. Plaintiffs state they do not recall being "personally provided with a copy" of the Owner's Handbook, and that they were never informed about any arbitration provisions in the Owner's Handbook or being required to opt out within thirty days.

In its reply brief, defendant replies that no evidence is necessary under *Condee v. Longwood Management Corp.* (2001) 88 Cal.App.4th 215; CRC 3.1330; and *Espejo v. S. Cal. Permanente Med. Grp.* (2016) 246 Cal.App.4th 1047, 1060, and that the agreements are not unconscionable.

II. Evidentiary Matters

Defendant requests judicial notice of the complaint. The request is denied as unnecessary; the Court does not need judicial notice for pleadings filed in this case.

Plaintiffs request judicial notice of federal regulations and legislative history concerning the

Magnuson-Moss Warranty Act. The request does not appear to be relevant to any argument made in the opposition. Accordingly, the request is **denied**.

Plaintiffs' objections to the evidence provided by defendant in support of the motion are **sustained**. Specifically, plaintiffs object to the statement in counsel's declaration about the identity of "Exhibit 3," the "Exhibit 3" (Owner's Handbook) itself, and paragraph 5 in the Declaration of Vijay Rao, which contains a statement that plaintiffs agreed to the CSA.

III. Standard

A written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract. (Code Civ. Proc., § 1281.) The party seeking arbitration bears the burden of proving the existence of an arbitration agreement. (*Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.) In California, contract formation requires free and mutual consent communicated to each other. (Civ. Code § 1565.) Mutual assent is determined under an objective standard applied to the outward manifestations or expressions of the parties. (*Esparza v. Sand & Sea, Inc.* (2016) 2 Cal.App.5th 781, 788.)

"[A] court, before granting a petition to compel arbitration, must determine the factual issue of 'the existence or validity of the arbitration agreement. In this way, a court's role, though limited, is critical. There is indeed a strong policy in favor of enforcing agreements to arbitrate, but there is no policy compelling persons to accept arbitration of controversies which they have not agreed to arbitrate and which no statute has made arbitrable." (*Toal v. Tardif* (2009) 178 Cal.App.4th 1208, 1219-20.)

Once the party seeking to compel arbitration has alleged that the agreement exists, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement. (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165.) The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement. (*Ibid*.) If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties. (*Ibid*.)

IV. Analysis

Defendant's motion contends there are two different arbitration agreements that compel arbitration here: that found in the Owner's Handbook (Ameripour Decl. ¶3, Ex. 3) and that found in the CSA Terms & Conditions, to which customers purportedly must agree in order to enroll in Bluelink services (Rao Decl. ¶4, Ex. B).

A. Owners Handbook - No Agreement

With respect to the Owner's Handbook, counsel's declaration infers (but does not actually state) that plaintiffs purchased a vehicle and received a manual that included an arbitration agreement. Exhibit 2 to the declaration is a document simply described as "Plaintiffs' Owner's Handbook & Warranty Information." (Ameripour Decl., ¶3, Ex. 3.) The exhibit contains arbitration requirements to which plaintiff must affirmatively opt out within 30 days.

A consumer is "not bound by inconspicuous contractual provisions of which he was unaware, contained in a document whose contractual nature is not obvious." (*Sellers v. JustAnswer LLC* (2021)

73 Cal.App.5th 444, 461.)

The attorney's declaration includes no information about the source of the document, or any personal foundation for how counsel knows that the attached exhibit is a document that applies to plaintiff. Perhaps more importantly, the document does not contain any indication of acceptance by plaintiff, and there is no evidence the document was ever actually given to plaintiffs at any time. (See *Norcia v. Samsung Telecommunications America, LLC* (9th Cir. 2017) 845 F.3d 1279, 1288-90 [Ninth Circuit found arbitration provision in a warranty brochure to be insufficient to form an agreement to arbitrate with the consumer: "warranty generally does not impose any independent obligation on the buyer outside of the context of enforcing the seller's promises."])

Plaintiffs properly objected to the introduction of the handbook based on lack of foundation and hearsay. Those objections were sustained. Plaintiffs' declarations indicate they were not shown a copy of the warranty or otherwise informed by the dealer about an arbitration provision in the Owner's Handbook, and that they were not told to opt out of arbitration within 30 days if they desired to do so. (Lewis Decl., ¶¶4-5; Joseph Decl., ¶¶4-5.) The declarations sufficiently challenge the existence of an agreement such that defendant must present admissible evidence to show such agreement exists, which defendant fails to do.

While *Condee,* 88 Cal.App.4th 215, and CRC 3.1330, decrease the *initial* burden on a party moving to compel arbitration, the court in *Gamboa,* explains the implications of that decision. Quoting *Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 846, the court notes that "[p]roperly understood, *Condee* holds that a petitioner is not required to authenticate an opposing party's signature on an arbitration agreement as a *preliminary* matter in moving for arbitration or in the event the authenticity of the signature is not challenged." Here, plaintiffs have raised objections to the evidence and defendant has failed to meet its burden in light of the objections. (See *Toal v. Tardif* (2009) 178 Cal.App.4th 1208, 1219, fn. 8.)

Addressing defendant's argument with respect to estoppel, the application of equitable estoppel principles might apply if plaintiffs had been put on notice of the arbitration agreement in the handbook prior to purchasing the vehicle and using it. But the facts here indicate otherwise. Aside from plaintiffs' own declarations stating they were not aware of it, or the opt-out requirements, the arbitration provisions appear in the "*Owner's* Handbook" suggesting one would not receive notice until after becoming the "owner" of the vehicle. Defendant has therefore failed to demonstrate mutual assent to arbitration.

In general, "[w]hen a plaintiff brings a claim which relies on contract terms against a defendant, the plaintiff may be equitably estopped from repudiating the arbitration clause contained in that agreement." (*JSM Tuscany, LLC v. Superior Court* (2011) 193 Cal.App.4th 1222, 1239.) Here, however, plaintiff expressly denies any reliance on the written terms of the warranty that appear in the handbook as the basis for her claims. Further, as noted above, a warranty imposes contractual obligations upon the seller, without imposing obligations on the buyer. (*Norcia,* 845 F.3d at 1288.) As such, equitable estoppel does not apply.

Hyundai does not show an arbitration agreement under the provisions in the Handbook.

B. Blue Link Connected Services Agreement - No Agreement

As to the terms and conditions of the clickwrap CSA, they do contain a "Binding Arbitration" provision within subpart C. of Section 14, entitled "Resolving Disputes." This subpart C. includes the following within the section, following the words "Arbitration Agreement":

> Hyundai and you agree to arbitrate any and all disputes and claims between us arising out of or relating to this Agreement, Connected Services, … the Vehicle, … except any disputes or claims which under governing law are not subject to arbitration, to the maximum extent permitted by applicable law. … This agreement to arbitrate is intended to be broadly interpreted and to make all disputes and claims between us subject to arbitration to the fullest extent permitted by law.

Plaintiffs have properly objected to the statement in paragraph 5 of Rao's declaration, that they enrolled their vehicle in Bluelink services. The Court has sustained the objection, depriving Hyundai of any evidence that plaintiffs' agreed to the terms and conditions. Defendant therefore fails to meet its burden here to show parties entered into the CSA.

Unconscionability

Hyundai having failed to show the existence of a binding arbitration agreement, it is not essential to go on and address whether the agreement would be invalid on unconscionability grounds if it existed. But as an alternative ground for denying this motion, the Court also concludes that either or both of the two proffered arbitration agreements would fail on this ground as well.

Plaintiff asserts that the arbitration agreement in the CSA is unconscionable and bears the burden to prove this defense. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126.) A contract is unconscionable if one of the parties lacked a meaningful choice in deciding whether to agree and the contract contains terms that are unreasonably favorable to the other party. (*Id*. at 125.) To prevail on an unconscionability defense, a party must establish both a procedural element and a substantive element. (*Ibid*.) The procedural element addresses the circumstances of contract negotiation and formation, focusing on oppression or surprise due to unequal bargaining power. (*Ibid*.) Substantive unconscionability pertains to the fairness of an agreement's actual terms and to assessments of whether they are overly harsh or one-sided. (*Ibid*.)

Procedural Unconscionability

As to procedural unconscionability, plaintiff presents no evidence as to the negotiation and formation of the contract, but defendant's evidence indicates a classic adhesion contract. Plaintiff must have clicked a check box that states, "I have read and agree to the Blue Link Terms & Conditions." (Rao Decl., Ex. 1.) This suggests little to no opportunity to negotiate the terms of the contract. (See Opposition, 15:15-16:24.) There is some degree of procedural unconscionability here based on the nature of the agreement.

Substantive Unconscionability

Turning to substantive unconscionability, plaintiff points to the symmetrical attorney fee provisions that contradict the Song Beverly Act's fee provisions favoring plaintiffs, and to the shortened statute of limitations which requires "ANY CLAIM AGAINST HYUNDAI OR GENESIS (OR ANY OTHER THIRD PARTY BENEFICIARY)" to be brought within "ONE YEAR AFTER THE CLAIM ARISES."

Hyundai, in its reply, attempts to distinguish the cases cited by plaintiff relating to shortened statutes of limitations, but the Court finds the authority persuasive. In *Fisher v. MoneyGram International, Inc.* (2021) 66 Cal.App.5th 1084, the appellate court held that a provision reducing a four-year statute of limitations to one-year was substantively unconscionable. Song-Beverly Act warranty claims are subject to a four-year statute of limitations. (*Krieger v. Nick Alexander Imports, Inc.* (1991) 234 Cal.App.3d 205, 213-215.) Shortening the limitations period to one year significantly limits the period to bring claims. Thus, the facts here are analogous to the facts at issue in *Fisher*.

Further, in *Gostev v. Skillz Platform, Inc.* (2023) 88 Cal.App.5th 1035, the court pointed to several nonmutual terms, "including, most notably, the requirement that only the plaintiff arbitrate his claims against the defendant, in its determination that the agreement was substantively unconscionable." The comparison is apt. Here, the CSA carves out claims only Hyundai would have as exceptions to the agreement. (See Rao Decl. Ex. B at ¶14(C)(a) ["However, any dispute you or we may have relating to copyrights or other intellectual property shall not be governed by this agreement to arbitrate."]; see also *Carbajal v. CWPSC, Inc.* (2016) 245 Cal.App.4th 227, 243-244 [finding one-sided carve-outs to be substantively unconscionable].)

Both the shortened one-year statute of limitations provision, as well as the one-sided carve out provisions of the CSA are substantively unconscionable.

As to fees, Hyundai essentially argues plaintiff's argument is "frivolous" and a "misinterpretation," but provides no support for reading the agreement to mean anything other than what plaintiff asserts it means. Hyundai appears to concede that its recovery of fees would be more limited than for plaintiff pursuant to Song-Beverly statutes. In any event, the CSA limits Hyundai's liability to $500 or the total amount paid for connected services during the 12 months preceding a claim, "UNDER ANY THEORY (INCLUDING BUT NOT LIMITED TO FRAUD, MISREPRESENTATION, BREACH OF CONTRACT, PERSONAL INJURY, OR PRODUCTS LIABILITY)." (Rao Decl., Ex. B, ¶11 ["Limitations of Liability"], §(E) ["THE MAXIMUM AGGREGATE LIABILITY OF HYUNDAI"].)

These provisions, collectively relating to fees, are substantively unconscionable.

The CSA is accordingly unconscionable and incapable of severance.

13. 9:00 AM CASE NUMBER: MSC22-00422
CASE NAME: BRADSHAW VS FRANCO HERRERA, IOX, LLC
***HEARING ON MOTION IN RE: STRIKE DEFENDANTS EXPERTS WHO WERE IMPROPERLY DISCLOSED AS SUPPLEMENTAL EXPERTS**
FILED BY: BRADSHAW, DANIEL
<u>*TENTATIVE RULING:*</u>

This is a trial motion, so the hearing is **continued** to the Issue Conference date.

Discovery Law & Motion

14. 9:01 AM CASE NUMBER: C25-00500
CASE NAME: SHAMIKA MUHAMMAD VS. COLD AIR REFRIGERATION, INC.
***HEARING ON MOTION FOR DISCOVERY COMPEL FURTHER DISCOVERY RESPONSES AND SANCTIONS**
FILED BY: COLD AIR REFRIGERATION, INC.
<u>*TENTATIVE RULING:*</u>

Defendant Cold Air moves to compel response and production of documents on four specific requests, all generally concerned with agreements that plaintiff may have with medical providers concerning payment of medical bills for treatment for the injuries alleged in this lawsuit. The motion is **denied**.

On one hand, the Court is not much impressed with plaintiff's objections based on privacy or privilege. As Cold Air correctly points out, by suing to recover (among other things) her medical expenses, plaintiff has put her medical treatment, and payment for it, directly in issue, waiving any privacy interests she would otherwise have in this respect. And the communications and agreements sought here are not with attorneys or anyone else working on plaintiff's legal prosecution of this case.

Nor is the Court persuaded by plaintiff's objections to the breadth or alleged vagueness of the requests, which appear to be reasonably well crafted to inform plaintiff as to what is sought, while being worded broadly enough to avoid evasion.

But on the other hand, the Court cannot agree with Cold Air as to the relevance of these materials or Cold Air's asserted need to discover them. Plaintiff is seeking to recover the value of medical services she has received, and what she has had to pay (or become financially liable for) for those services. Agreements on how plaintiff is to come up with the money to pay for those services is not pertinent. If plaintiff had paid her medical bills by borrowing the money from her parents or a bank, that would not make the details of those loans relevant to the measure of damages for medical costs. Even if, by formal agreement or practical understanding, it were expected that the providers would be paid out of the proceeds of a recovery or settlement, that is not directly relevant either. The latter scenario is more akin to medical liens imposed by health carriers or Medicare, the only difference being plaintiff's express agreement to them in advance.

Cold Air argues that the prospect of being paid out of a recovery could be a source of testimonial bias for the doctors and other providers who may testify in the case. It can't be denied that that's a potential source of witness bias; but that's a fact of life built into the plaintiff-doctor relationship, independent of any particular agreements that may exist. Even without any agreement at all in place between a plaintiff and her doctors, it would very likely be the case that doctors would know they're more likely to get paid if the plaintiff recovers in court, and it could be suspected or argued that that might bias their testimony. Cold Air is already free to ask the doctor-witnesses about that, and to argue to jurors about such bias. The particular detailed mechanisms by which such financial incentives would operate are not important.

(The Court notes that of the three unpublished decisions cited in Cold Air's opposition, one could not be found on Lexis and the other two are neither relevant nor helpful.)

15. 9:01 AM CASE NUMBER: C23-01054
CASE NAME: SWEET ADELINE INC VS. TASTYWINGS INC
***HEARING ON MOTION FOR DISCOVERY COMPEL AND REQUEST FOR SANCTIONS**
FILED BY: TASTYWINGS INC
****TENTATIVE RULING:****

Defendant Tastywings moves to compel responses and production of documents in response to its requests for production, requests 38 through 47, in defendant's second set of RFPs (served on or about August 11, 2025). Plaintiff served no responses and produced no documents in response to these requests, and has filed no opposition to this motion.

The motion to compel is therefore **granted**. Ptf must serve full and complete written responses to the requests in question, without objections, by February 6, 2026. It must also produce all responsive documents by February 20, 2026.

The Court awards sanctions of $1,335, payable by counsel for plaintiff within 30 days.

16. 9:01 AM CASE NUMBER: C23-03094
CASE NAME: CAROL BERGER VS. BARBARA QUINLAN-TUDDA
***HEARING ON MOTION FOR DISCOVERY COMPEL FURTHER DISCOVERY RESPONSES**
FILED BY: ZADESKY, LOUIS

<u>*TENTATIVE RULING:*</u>

This case has been **settled**.

Law & Motion
Add On

17. 9:00 AM CASE NUMBER: C24-02448
CASE NAME: FAT.HOMES LLC VS. SUKHPREET BRAR
***HEARING ON MOTION IN RE: EXPUNGE LIS PENDENS**
FILED BY: PLAINTIFF
<u>*TENTATIVE RULING:*</u>

Plaintiff FAT.Homes LLC moves to expunge lis pendens based on defendant/cross-complainant Sunayna Bedi's recording of a lis pendens on property owned by FAT.Homes. FAT.Homes argues that Bedi's lis pendens should be expunged because: (1) the claims in the cross-complaint are not real property claims; (2) Bedi cannot establish probable validity of her real property claims; and (3) Bedi failed to serve the lis pendens as statutorily required. The motion is **denied**, but no party is ordered to pay sanctions.

<u>Background</u>

This is a triangular lawsuit, with the three sets of parties being (1) plaintiff FAT.Homes; (2) defendant Brar and Brar's LLC (collectively called Brar here); and (3) defendant Bedi. The actual facts of what happened will remain to be shown at trial or in further proceedings. What the present papers show, however, is this: Brar was the owner of a property in Richmond. Brar and FAT.Homes agreed to a sale of the property from Brar to FAT.Homes. For reasons not very clearly explained, however, FAT.Homes as the buyer did not timely record the grant deed from the sale, thus (as far as county land records could show) leaving Brar in apparent ownership of the property. Brar then took advantage of that fact by granting a deed of trust on the property to Bedi, as part of settlement of an unrelated debt owed by

Brar to Bedi.

FAT.Homes filed the present lawsuit against Brar and Bedi, seeking (among other relief) to clear its title to the property as against the deed of trust granted by Brar to Bedi and now held by Bedi. Bedi cross-complained against Brar (though not against FAT.Homes), seeking (among other relief) enforcement of the deed of trust. Bedi filed a lis pendens against the property based on her deed of trust.

Brar has not participated actively in the present motion proceedings, which are thus effectively a bilateral dispute between Bedi and FAT.Homes. Notably, however, the narrative recounted by these two parties is substantially consistent, with each of Bedi and FAT.Homes being an innocent victim of misdeeds committed by Brar. (Admittedly we haven't heard Brar's side of any part of this story yet.) In a nutshell (as recounted by the presently contending parties), Brar first sold the property to FAT.Homes, while inducing FAT.Homes to refrain from recording its grant deed. Then, despite having previously sold the property to FAT.Homes, Brar then pledged the same property to Bedi as security for a debt repayment. Thus, to oversimplify a little, the bottom-line dispute between these two parties can be summarized as determining which of the two can be made whole as against Brar via recovery of the property (or its value), versus which of the two will be relegated to seeking direct financial recovery from (a dubiously solvent) Brar. And if there is a moral to this story, it is this: When you do a real estate purchase, record the deal promptly, or you're at risk of intervening shenanigans by the seller.

<u>Detailed Allegations</u>

On June 6, 2024, Plaintiff FAT.Homes purchased real property in Richmond from the Brar defendants. (Complaint, ¶ 9.) FAT.Homes did not record the grant deed due to Brar asking it not to so that they could purportedly refinance a loan, and also because FAT.Homes lost the executed copy (*Id*. at ¶ 10; Lejoy Decl., ¶ 6.). FAT.Homes did not record the grant deed until July 31, 2024. (Cross-Complaint, ¶ 13.)

However, prior to July 31, 2024, and after the June 6, 2024 sale of the property, Brar provided a deed of trust on the Property in favor of cross-complainant Bedi in relation to a $250,000 loan. (Request for Judicial Notice ISO Opposition, Exh. C.) In the deed of trust, in addition to securing the principal amount of $250,000, Brar agreed with Bedi that Brar would give Bedi a contract to repair the property and instruct the property lender to disburse all repair and construction funds to Bedi. Bedi would hold the draw funds and pay the contractors and workers. After completion of the repairs, Bedi was to retain Brar as a real estate agent, to list and sell the property. (*Ibid*.) Upon the sale of the property, 100% of the proceeds were to go straight to Bedi. (*Ibid*.) Bedi recorded the deed of trust on July 18, 2024, prior to Plaintiff recording the grant deed. (See Complaint, ¶ 11; Lejoy Decl., ¶ 7.).

Plaintiff filed this action against Brar and Bedi on September 11, 2024, asserting claims for fraudulent transfer, fraud, breach of contract, and rescission. (Complaint, p.1.) Bedi filed a cross-complaint against the Brar defendants on October 10, 2024, asserting claims for breach of contract, breach of deed of trust, fraudulent concealment, and breach of the implied covenant of good faith and fair dealing. (Cross-Complaint, p. 1.)

<u>Legal Standard</u>

The purpose of a lis pendens is “to give constructive notice of an action affecting real property to persons who subsequently acquire an interest in that property, so that the judgment in the action will be binding on such persons even if they acquire their interest before the judgment is actually rendered.” (*Bishop Creek Lodge v. Scira* (1996) 46 Cal.App.4th 1721, 1733.) “As a practical matter, the filing of a lis pendens usually clouds the title to the property and prevents its transfer until the litigation is resolved or the lis pendens is expunged.” (*Malcolm v. Superior Court of Santa Clara County* (1981) 29 Cal.3d 518, 523, fn. 2.) “Unlike most other motions, when a motion to expunge is brought, the burden is on the party opposing the motion to show the existence of a real property claim.” (*Kirkeby v. Superior Court* (2004) 33 Cal.4th 642, 647.)

A court shall order a notice of lis pendens expunged if it determines (1) that the pleading on which the notice is based does not contain a real property claim (§ 405.31); (2) that the claimant has not established, by a preponderance of the evidence, the probable validity of a real property claim (§ 405.32); or (3) that adequate relief can be secured by an undertaking. (§ 405.33.)

(*Shoker v. Superior Court* (2022) 81 Cal.App.5th 271, 277.)

<u>Objections to Declaration of Paul LeJoy</u>

Cross-Complainant has submitted objections to the declaration of Paul LeJoy. The objections do not comply with CRC 3.1354(b)(3). In any event, the objections are not well-taken. The evidence proves what it proves and doesn’t prove what it doesn’t prove, and will be considered only to the extent relevant and probative.

<u>Requests for Judicial Notice</u>

Both sides request judicial notice of various documents. The Court does not need judicial notice as to filings in this case, which are already before the Court. Notice is granted as to the other documents concerned, namely a deed of trust and documents concerning a lawsuit in Alameda County.

<u>Whether Cross-Complaint Asserts a Real Property Claim</u>

Code of Civil Procedure, section 405.4, defines a “real property claim” as the cause or causes of action in a pleading which would, if meritorious, affect “title to, or the right to possession of, specific real property.” If the pleading filed by the claimant does not plead a real property claim, the lis pendens must be expunged upon motion under Code of Civil Procedure, section 405.31.

Plaintiff asserts that Bedi has not asserted a real property claim because the cross-complaint “primarily seeks monetary relief” and because Bedi “alleges four causes of action in the cross-complaint, none of which even if meritorious, would affect title to or right to possession of the Property....” (Motion, p. 5:5-10.) In opposition, Bedi argues that an action for foreclosure of a deed of trust is grounds for recording a lis pendens. (Opposition, p. 3:12-21.)

Here, the cross-complaint asserts a claim for breach of deed of trust and includes a request for foreclosure of the deed of trust in the prayer for relief. (Cross-Complaint, ¶¶ 20-26, p. 6:23.) A remedy for breach of a deed of trust is that the beneficiary “is allowed to sell the property.” (*Flores v.*

Transamerica HomeFirst, Inc. (2001) 93 Cal.App.4th 846, 854.) This would undoubtedly affect title to, or the right to possession of, the Property. (*See also* Miller and Starr, California Real Estate 4th, § 10:150 [identifying an action to enforce a lien on real property, including an action to foreclose a deed of trust, as being real property claims for the purposes of lis pendens and citing cases].) The Court concludes that the cross-complaint asserts a real property claim.

<u>Whether Bedi Establishes Probable Validity of Her Real Property Claim</u>

FAT.Homes argues that there is no probable validity here because Brar had already conveyed the property to FAT.Homes via a grant deed prior to Brar providing the deed of trust to Bedi. FAT.Homes, however, provides no legal authority supporting the contention that a deed of trust is invalid in the face of a prior, but unrecorded, unknown, and undiscoverable grant deed to someone else.

California law is contrary. California is a race notice jurisdiction and the first to record gets priority. "A good faith encumbrancer for value who first records takes its interest in the real property free and clear of unrecorded interests. (Civ. Code, § 1107, 1214; 3 Miller & Starr, Cal. Real Estate (2d ed. 1989) Recording and Priorities, § 8:2, 8:3, pp. 270, 273 [unrecorded instrument not enforceable against subsequent bona fide purchaser who first records].)" (*Triple a Management Co. v. Frisone* (1999) 69 Cal.App.4th 520, 530.)

Thus, the problem with FAT.Homes's argument is that it looks at the issue only from its own point of view as a buyer, and ignores the situation as it presented itself to Bedi at the time. But the validity of the deed of trust – and, in particular, how the deed of trust stands as against the grant deed – depends on the timing. Here, there is no assertion that Bedi had any knowledge that Brar had sold the property to someone else prior to giving the deed of trust to Bedi. Thus, as far as the publicly available land record showed – and as far as Bedi could have known or discovered – Brar was still the owner of the property, and fully entitled to encumber it by granting a deed of trust.

Obviously, then, FAT.Homes would be on firmer ground if (as would have been conventional) it had timely recorded its grant deed. Indeed, the very purpose of the California title-recording system, and its focus on priority of filing, is precisely to enable a party in FAT.Homes's position to give notice to the world (including a party in Bedi's position) that Brar no longer owned the property. Thus, if FAT.Homes had timely filed, Bedi's claim would still be a real property claim (because based on a purported deed of trust), but it would not stand any chance of prevailing (because the grant deed would have statutory priority). Conversely, it is the purpose of the first-to-file system that a party in Bedi's position, before lending money on a deed of trust, can ensure herself that there are no prior conflicting claimants to ownership, because no conflicting claims are on file. Bedi was entitled to rely on that, while FAT.Homes was not entitled to rely on its own unrecorded title as against Bedi's recorded claim.

And while not directly controlling, it is also worth noting that FAT.Homes's proferred reasons for not filing don't really stand up to scrutiny either. FAT.Homes offers two reasons, neither very clearly explained and possibly not really in harmony with each other. First is that FAT.Homes refrained from filing at Brar's request, so that Brar could engage in some other (not well specified) transactions with third parties concerning the property, while not putting those third parties on notice that Brar no longer owned the property. That's a huge red flag, and should have warned FAT.Homes it was opening itself to shady dealing by Brar. As for the excuse that the grant deed mysteriously got lost – whose fault would that have been? Not Bedi's.

Thus, in examining whether Cross-Complainant has probable validity of the breach of deed of trust claim against Defendants, it is noteworthy that this is not a case with varied and complicated issues relating to the potential liability of Defendants to Cross-Complainant. Here, the deed of trust, which was recorded *prior* to the grant deed, reflects that Defendants owe Cross-Complainant a valid debt of at least $292,500. There is no evidence that Defendants have made any payments. Thus, there is not much more to consider—Cross-Complainant has established probable validity of the real property claim.

<u>Whether Any Technical Shortcomings with Service Justify Expunging the Lis Pendens</u>

Plaintiff argues that the lis pendens should be expunged because "[t]he POS admits that the notice of lis pendens was mailed 'regular' mail, failing the statutory requirement that notice be mailed, registered or certified mail, return receipt requested." (Motion, p. 7:21-24.) However, the POS does not show this. While the POS does not reflect that the method of mailing utilized was "certified" or "registered," etc., it similarly does not specify that that mailing was done via "regular" mail as Plaintiff asserts.

This issue is clarified by paragraphs 2 and 3 and Exhibit B of the Declaration of Kevin R. Martin, which shows that the notice of lis pendens was served by certified mail, with return receipt requested and signed for by a person named Giselle Burhyte. (Martin Decl., ¶¶ 2-3, Exh. B.)

Plaintiff also argues that Cross-Complainant did not mail the notice of lis pendens "to all known addresses of the parties to whom the real property claim is adverse and to all owners of record of the real property affected by the real property claim as shown by the latest county assessment roll." (Code Civ. Proc., § 405.22.)

According to Plaintiff's Secretary of State filing, Paul Lejoy is the agent for service of process for Plaintiff and the address identified for the agent for service of process is not where Cross-Complainant sent the notice of lis pendens. (Lejoy Decl., ¶ 18, Exh. G.) The notice of lis pendens was sent to the address identified on the Secretary of State filing as being the address for the CEO, who also happens to be Paul Lejoy, and the return receipt was signed and returned. (Martin Decl., ¶¶ 2-3, Exh. B.) There are two additional addresses on the Secretary of State filing, one for the mailing address of Plaintiff and one for the California street address of Plaintiff.

The law only requires substantial compliance to satisfy Code of Civil Procedure section 405.22. (*J&A Mash & Barrel, LLC v. Superior Court* (2022) 74 Cal.App.5th 1, 29 ["Here, we resolve that question of law by concluding substantial compliance satisfies the mailing requirement of section 405.22."] The Court concludes that Cross-Complainant substantially complied with the mailing requirement for lis pendens as it was sent by certified mail with return receipt requested to an alternative address for Paul Lejoy, who is the agent for service of process of Plaintiff.

<u>Sanctions</u>

"The court shall direct that the party prevailing on any motion under this chapter be awarded the reasonable attorney's fees and costs of making or opposing the motion unless the court finds that the other party acted with substantial justification or that other circumstances make the imposition of attorney's fees and costs unjust." (Code Civ. Proc., § 405.38.) Here, the Court finds that FAT.Homes acted with substantial justification in moving to expunge the lis pendens and the Court is not inclined to order any sanctions. In this respect, it is significant that while FAT.Homes's position does not prevail, both of the present combatants are essentially in agreement that FAT.Homes is as much an innocent victim of Brar's sharp practice as Bedi is.

Courtroom Clerk's Session

9:01 AM CASE NUMBER: MS25-0971
CASE NAME: POETS PROPERTIES, LLC VS. SHANNON WILSON
***DEMURRER / MOTION TO STRIKE HEARING**
FILED BY: WILSON, SHANNON D.
****TENTATIVE RULING:****

This limited-jurisdiction case is **reassigned** to Department 14 (Judge Athanasiou) for all purposes. The demurrer and motion to strike are **continued** to January 27, 2026, at 9:00 a.m. in Department 14.